

Banking economics reallocate—not collapse

Structural | Evidence current to 27 August 2026 | High that value pools are reallocating; medium on the speed of revenue migration

Research question

How does Banking economics reallocate—not collapse change enterprise economics, competitive advantage and executive priorities?

Executive Summary

Banking economics are reallocating rather than collapsing. Some banks remain profitable, yet value is migrating toward private credit, payments, digital infrastructure, asset management and differentiated advice while legacy technology, compliance and operational risk consume resources. The leadership challenge is to redirect capital, talent and technology before external pressure forces broad cost cutting. The defensible bank combines trusted client relationships and balance-sheet capabilities with structural simplification and selective infrastructure leadership. ^{[1][2][5]}

Evidence Boundary and Confidence: Current profitability differs by market and institution. Structural pressure should not be misread as an immediate, universal collapse in bank earnings.

Quantitative anchors

2025 REPORTED / 2026 FORECAST 9.9% / 9.8% EU/EEA banks' weighted-average return on equity: 9.9% reported for 2025 and 9.8% forecast for 2026; later improvement depends partly on assumed cost reductions. ^[1]	REPORTED ACTUAL 450+ bps decline in average bank ROE since the global financial crisis cited in the Weekly Brief archive. ^[2]
MODELLED OPPORTUNITY \$7 trillion modelled five-year shareholder-value opportunity, conditional on banks fundamentally reshaping their organizations. ^[2]	REPORTED ACTUAL 20% vs <5% annual growth in direct commercial lending by asset managers from 2017-22 versus bank asset growth, as cited in the Weekly Brief. ^[2]

Note: each card was checked against the cited passage; measurement type is shown above the value.

Key Findings

01	Value moves toward specialized balance sheets and infrastructure Private credit, payment platforms and market infrastructure can target attractive pools without carrying the full cost base of a universal bank. ^{[2][5]}
02	Legacy complexity raises the hurdle rate Products, systems, legal entities and manual controls absorb capital and management attention. ^{[2][6]}
03	Trust and distribution remain incumbent assets Licenses, deposits, client relationships and compliance capabilities can support digital money, advice and transaction services if the bank moves early enough. ^{[4][7]}

Evidence and Evolution, 2023-2026

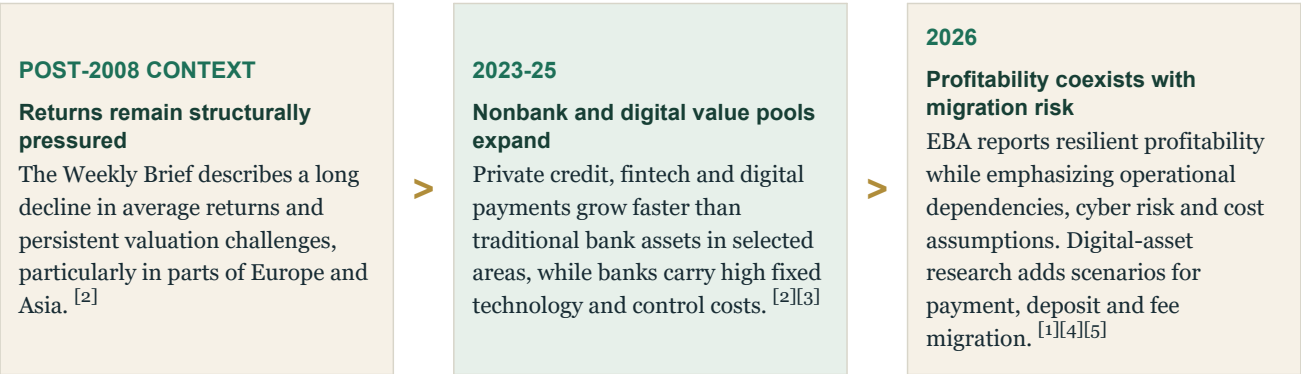


Figure 1. Evolution of the evidence base
Note: stages summarize the sequence in the archive; they do not imply a uniform adoption rate across markets or companies.

Analytical Architecture

01 Value moves toward specialized balance sheets and infrastructure	02 Legacy complexity raises the hurdle rate	03 Trust and distribution remain incumbent assets
Private credit, payment platforms and market infrastructure can target attractive pools without carrying the full cost base of a universal bank. ^{[2][5]}	Products, systems, legal entities and manual controls absorb capital and management attention. AI delivers limited value if it automates complexity rather than removes it. ^{[2][6]}	Licenses, deposits, client relationships and compliance capabilities can support digital money, advice and transaction services if the bank moves early enough. ^{[4][7]}

Figure 2. Causal architecture of the finding
Source: Weekly Brief Atlas analysis of the cited Briefs and authoritative research.

Economic Assessment

A bank's transformation case should bridge revenue migration, structural cost and capital allocation. Temporary rate benefits or lower credit costs can mask weak fee pools and legacy operating leverage. Conversely, headline disruption scenarios can overstate near-term impact when regulation and client trust slow adoption. Management should segment businesses by defensibility and right to win, simplify the cost base around the chosen portfolio and track whether technology spend improves productivity, client economics and operational resilience together. ^{[2][1][5][4]}

Implications

Portfolio	Reallocate toward client franchises and infrastructure positions where trust, data, liquidity or advice create defensible economics.
Cost	Remove products, systems and process complexity before scaling AI; structural simplification is more durable than repeated headcount programs.
Risk	Treat cyber, third-party and operational dependencies as part of the earnings model, not only compliance.

Figure 3. Executive implication matrix

Recommendations

01 NEXT 90 DAYS Rebuild the value-pool map Quantify where payments, private credit, digital assets and advice could change revenue and capital intensity.	02 NEXT 90 DAYS Identify structural complexity Map products, systems, entities and controls that generate cost without supporting a defensible client proposition.
03 6-12 MONTHS Fund the chosen positions Shift capital and technology talent toward priority client and infrastructure franchises with explicit return targets.	04 6-12 MONTHS Modernize resilience with productivity Use shared data, controls and platforms to improve cost and operational risk together.

Figure 4. Sequenced management response

Conditions That Would Weaken the Finding

- Sustained favorable rates or credit conditions could support profitability longer than structural narratives imply.
- Regulation may slow nonbank or digital competitors and preserve incumbent economics.
- Large transformation programs can destroy value if simplification disrupts customer service or controls.

Monitoring Framework

01	Revenue and capital by value pool
02	Structural versus cyclical profitability
03	Cost of product and system complexity
04	Technology value realization
05	Operational-risk losses and recovery time

Evidence Boundary and Confidence

High that value pools are reallocating; medium on the speed of revenue migration
Current profitability differs by market and institution. Structural pressure should not be misread as an immediate, universal collapse in bank earnings.

Notes and Sources

Superscript numbers in the chapter refer to this list. Page references use the printed report pagination where available.
[1] Authoritative research · European Banking Authority · 2026-06-18 · Risk Assessment Report — June 2026 · p. 47

- [2] Weekly Brief · 2024-03-25 · Banking at a Crossroads
- [3] Weekly Brief · 2023-05-09 · Fintech and the Case for Optimism
- [4] Weekly Brief · 2026-08-04 · Getting Real About Digital Assets
- [5] Authoritative research · McKinsey & Company · 2026-05-01 · Global Banking Annual Review 2026: Precision with Speed
- [6] Weekly Brief · 2026-05-06 · When AI and Cost Become One Agenda
- [7] Authoritative research · BIS · 2026-06-29 · **Anchoring Trust in Money: Innovation Beyond Stablecoins**
- [8] Authoritative research · J.P. Morgan Global Research · 2026-07-01 · Mid-Year Market Outlook 2026: The Tug of War Continues

Independent analysis of the available Weekly Brief archive and selected authoritative research. The chapter distinguishes reported actuals, forecasts, scenarios, surveys, modelled estimates and company-reported figures. Figures are not presented as audited actuals unless the source supports that characterization.